

Case study 1: SMC Case Scenario

Ian Sherman, CFA, is a portfolio manager at SMC, an investment advisory firm which offers investment products and services to individual and institutional clients. SMC has adopted the CFA Institute Research Objectivity Standards and implemented policies in compliance with the Standards.

All of SMC's investment professionals have earned CFA charters. Sherman tells prospective clients, "The CFA charter is the highest credential in the global investment management industry. As charterholders we are committed to the highest ethical standards. Completion of the program has dramatically improved the team's portfolio management knowledge and their ability to achieve better performance results."

Sherman has earned a reputation for consistently outperforming the market. Over the long run, his mutual funds have outperformed their respective market benchmarks by a wide margin. For the past 12 months the funds have slightly underperformed the benchmarks. Some clients have noticed that Sherman's fund performance information has not been updated on the advisor's website in the past six months. When clients inquire about fund performance, Sherman provides them with accurate updated information.

Annette Martineau, CFA, works as an analyst for Sherman and presents her recently completed research report and sell recommendation on Muryan Corporation, which is held in one of Sherman's funds to SMC's Investment Committee. After much debate about the company and its prospects, the committee reaches a consensus recommendation that is contrary to Martineau's. Martineau informs Sherman, "I accept that the committee's recommendation has a reasonable basis, but I strongly believe that my recommendation is more appropriate. I have been diligent in my research and have a deeper understanding of the industry and its competitive factors."

The following week, Martineau prepares for an investment conference, open to the general public but typically attended only by investment professionals, by reviewing SMC's policies regarding public appearances. The policies state:

- 1) Employees should remind audience members to judge the suitability of the investment in light of their own unique circumstances.
- 2) Employees should make full disclosure of all conflicts of interest, both their own and those of the firm.
- 3) Employees may not provide research reports to audience members. Research reports are reserved exclusively for SMC clients.

During the conference, private equity firm Caruso Limited announces a takeover bid for Muryan. Immediately, Muryan shares increase 30 percent in value. Martineau is skeptical of the transaction as she doubts that the Caruso partners fully understand the changing industry dynamics of the target firm. She hypothesizes that they would cancel the deal if they did. Concerned that Caruso will eventually cancel the deal, Martineau drafts an updated report and reiterates her sell recommendation on Muryan. Since SMC's Investment Committee had overturned her previous sell recommendation on Muryan she goes into great detail as to why she believes Caruso will not complete the deal. She emails the recommendation to Sherman the next afternoon.

That evening, Martineau considers what action to take regarding the 5,000 shares of Muryan held in her husband's personal account. The firm's policy on personal investments and trading requires that

Martineau receive approval from the compliance department in advance of all trades in securities in subject companies in her assigned industry. She is concerned that if Sherman accepts her recommendation to liquidate all fund holdings of Muryan, the stock price will drop before she receives approval from the compliance department. Martineau decides to use derivatives to hedge her husband's position because these types of trades do not require advance approval from the compliance department.

The next morning, on Martineau's recommendation, Sherman's trader sells all of SMC's mutual fund's entire positions of Muryan for a sizable gain. Martineau hedges her husband's position. *mua derivatives tác động cp => VIOLATE*

Several weeks later, as Martineau had hypothesized, Caruso cancels the deal and Muryan's stock price declines 20 percent. Martineau's derivatives position effectively hedges her husband's position in the stock.

Sherman learns that a wealthy investor in the fund might liquidate his holdings due to doubts about suitability and economic forecasts. Sherman carefully reviews the client's investment objectives, and informs the client, "You should not sell. Our fund is still suitable for you. You have been invested with us throughout the past 12 years and I urge you to continue to stay fully invested. I was just looking at the investment record of a former client who happens to be a relative of mine, Karoll Reeves, who has traded in and out of our funds during that same period. Her returns have badly lagged yours." The client elects to maintain his holdings in Sherman's fund.

A month later, Martineau leaves SMC and starts the Galaxy hedge fund with Anjali Shah as her partner. The first client to commit to the hedge fund instructs the Galaxy partners to direct its trades through RLB Securities. RLB charges higher-than-average fees, but provides some unique informational services to investors. In return for receiving Galaxy's trading business, RLB promises to refer potential clients to Galaxy. Shah tells Martineau "A larger client base will create economies of scale and will eventually allow Galaxy to lower its expenses for all clients." Martineau agrees. She and Shah explain the directed brokerage arrangement carefully to prospective clients. They require each client to sign a statement that reads, "It is not necessary for Galaxy to seek best price and execution, and I am aware of the consequence for my account. I consent to Galaxy's trades being executed by RLB Securities."

I. Case questions:

1. In which of the following actions does Sherman most likely comply with the requirements and recommendations of the CFA Institute Standards of Professional Conduct? When he:

- A. references the CFA program and designation.
- B. provides performance information on the advisor's website.
- C. references the enhanced portfolio management skills of his team.

2. According to CFA Institute Standards, Martineau's best immediate course of action regarding her initial research report and recommendation on Muryan is to:

- A. leave her name on the report and take no further action.

- B. leave her name on the report and document her difference of opinion.
- C. issue her own independent recommendation since she has a reasonable basis.

3. Which of SMC's policies regarding public appearances is least likely consistent with both the requirements and recommendations of the CFA Institute Research Objectivity Standards?

- A. Statement 1.
- B. Statement 2.
- C. Statement 3.

4. Martineau's actions regarding her husband's account most likely violate the CFA Institute Research Objectivity Standards because she:

- A. did not receive advance approval from the compliance department for trades in her assigned industry.
- B. trades within the restricted trading period of at least 5 calendar days prior to and after issuing a research report.
- C. should seek to ensure that trades for immediate family members are not done in advance of or disadvantage investing clients.

5. Concerning the client who wants to liquidate his holdings, which of the following CFA Institute Standards is most likely violated by Sherman?

- A. Confidentiality.
- B. Conflict of interest.
- C. Communication with client.

6. Which of the following actions correctly states why Martineau's relationship with RLB Securities would most likely violate CFA Institute Standards?

- A. Galaxy is prohibited from referring brokers to any client.
- B. Galaxy fails to explain the consequences of average quality execution.
- C. Galaxy should trade client accounts through RLB only if the accounts receive best price and execution.

II. Case answers:

1. Answer: A

Guidance for Standards I-VII, CFA Institute

2009 Modular Level II, Volume 1, pp., 29-31, 64, 105-7

Demonstrate a thorough knowledge of the Code of Ethics and Standards of Professional Conduct by applying the Code and Standards to specific situations.

Sherman's comments about his staff and the CFA Program are all acceptable

2. Answer: B

Guidance for Standards I-VII, CFA Institute

2009 Modular Level II, Volume 1, pp. 80-83, example 5.

Study Sessions 1-2-a

Demonstrate a thorough knowledge of the Code of Ethics and Standards of Professional Conduct by applying the Code and Standards to specific situations.

Martineau need not remove her name from the report, but she should document the difference of opinion.

3. Answer: C

CFA Institute Research Objectivity Standards, CFA Institute

2009 Modular Level II, Volume 1, p. 160

Study Sessions 1-4-b

Critique company policies and practices related to research objectivity and distinguish between changes required and changes recommended for compliance with the Research Objectivity Standards.

The CFA Institute Research Objectivity Standards recommend that firms provide full research reports on the subject companies discussed to members of the audience at a reasonable price. At a minimum, the covered employee should disclose whether a written research report is available to members of the audience who are not clients of the firm, the approximate cost, and how a listener might acquire the report. Firms should make copies of the full research report available for purchase or review; for example via the firm's website.

4. Answer: C

CFA Institute Research Objectivity Standards, CFA Institute

2009 Modular Level II, Volume 1, pp. 158-159.

Study Sessions 1-4-b

Critique company policies and practices related to research objectivity and distinguish between changes required and changes recommended for compliance with the Research Objectivity Standards.

The CFA Institute Research Objectivity Standards requires firms to ensure that covered employees and members of their immediate families do not have the ability to trade in advance of or otherwise disadvantage investing clients relative to themselves of the firm.

5. Answer: A

Guidance for Standards I-VII, CFA Institute

2009 Modular Level II, Volume 1, pp. 67, 84, 89

Study Sessions 1-2-a

Demonstrate a thorough knowledge of the Code of Ethics and Standards of Professional Conduct by applying the Code and Standards to specific situations.

The Standards prohibit Sherman from revealing confidential information about clients or former clients, including use of the client's name.

6. Answer: C

Guidance for Standards I-VII, CFA Institute

2009 Modular Level II, Volume 1, p. 50

Study Sessions 1-2-a

Demonstrate a thorough knowledge of the Code of Ethics and Standards of Professional Conduct by applying the Code and Standards to specific situations.

According to Standard III (A) Loyalty, Prudence, and Care, members must act for the benefit of their clients and place their clients' interests before their own. Martineau puts her own interests ahead of that of her clients when directing brokerage in exchange for client referrals. Martineau may trade through RLB only if the accounts receive best price and execution and the practice (i.e. the referral arrangement) is disclosed to clients.

Case study 2: Tea Industry Case Scenario

Christian Mathew, CFA, is an equity analyst specializing in the beverage industry, for Gupta Asset Managers (Gupta), a portfolio management company based in Mumbai, India. Mathew is planning a trip to Sri Lanka to research the tea industry. Murali Premadosa, CFA, known as “Prem,” is a research analyst for a stock broking company, Ashoka Brokers, headquartered in Colombo, Sri Lanka. Mathew contacts Prem to help arrange visits to specifically identified tea estates of publicly traded companies in the highlands of Sri Lanka.

Prem, wanting to enhance the business relationship with Gupta, arranges for all of Mathew’s Sri Lankan expenses to be paid for by Ashoka. These costs include food, hotel and transport. This arrangement is based on the understanding that all security transactions resulting from Mathew’s trip to Sri Lanka will be executed through Ashoka. Ashoka’s commissions are typically similar to its competitors but it can take a few extra days to execute larger volumes of trades because Ashoka is new to the brokerage business. Prem sets the itinerary, with plans to visit a minimum of six Sri Lanka tea companies in the three tea-growing regions. Mathew agrees to the visits and asks Prem to create a list of questions to ask the management of each company to which he will add his own questions.

Mathew asks Prem to delay the release of any research report he writes on the six Sri Lanka companies they visit together until such time that Gupta has had an opportunity to act on Mathew’s recommendations. Prem agrees to this arrangement.

In a meeting with a publicly listed tea company, Kandy Tea Estate Limited, information is revealed that neither Mathew nor Prem believe is in the public arena. The information relates to the restructuring of the factory layout to make the tea drying process marginally more efficient with a 1% reduced loss of tealeaf. The new layout does not require any additional machinery or personnel. Prem and Mathew see the increased efficiencies during their factory tour.

After the meeting, Prem prepares an investment research report with the excerpt shown in Exhibit 1.

Exhibit 1:

Kandy Tea Estate Limited
Date: December 2012
Analyst: Murali Premadosa
Chartered Financial Analyst
Recommendation: Long-term buy with associated high commodity risk supported by large growth prospects for Sri Lanka as well as liquidity risk because it is a thinly traded company in a frontier market.

Exhibit 1 (cont): Tea Production by Country (million kg)				
	2008	2009	2010	CAGR (2008 – 2010)
India	980.8	979.0E	966.4E	–0.7%
Sri Lanka	318.7	290.6	331.4	2.9%

(Source: India Tea Board and Sri Lanka Tea Board)

Mathew is impressed with Prem's work ethic and research abilities. Knowing Gupta wants to hire analysts for its new Colombo office, Mathew asks Prem if he would be interested in changing employers and building a research team. Prem is excited about the prospect and to show his worth to Gupta, Prem undertakes the following actions at his office after normal working hours:

Action 1: Creates a list of all the work he completed at Ashoka on his personal laptop.

Action 2: Photocopies research reports he recently completed on the tea industry.

Action 3: Makes hand written excerpts from previous research meeting notes.

Upon Mathew's return to Mumbai, he delivers to his clients his investment report with a "Buy" recommendation for Kandy Tea Estate Limited, along with tea samples he collected while in Sri Lanka. When buying Kandy shares for his clients, Mathew also buys the same shares for his personal account. He had disclosed his plan to purchase the shares for his own portfolio alongside his clients before he bought the shares. However, Mathew is forced to sell the same shares two weeks later to pay for a medical emergency. Mathew received permission from Gupta's compliance officer for both transactions.

I. Case questions:

1. Is Prem's arrangement to enhance business relations consistent with the CFA Institute Code of Ethics and Standards of Professional Conduct?

- A. Yes
- B. No, with regard to best execution
- C. No, with regard to independence and objectivity

2. Who is most likely to have violated CFA Institute Standards in regard to the timing of the release of research reports?

- A. Prem
- B. Mathew
- C. Both Prem and Mathew

3. Is any further action most likely required of Prem and Mathew prior to publishing an investment report using the information received in their meeting with Kandy Tea Estate?

- A. No.
- B. Yes, convince the company to make a public disclosure.
- C. Yes, independently verify the information provided by the company.

4. Prem's research report in Exhibit 1 least likely violates which CFA Institute Standard?

- A. Plagiarism
- B. Use of CFA designation
- C. Communication with Clients

5. Which of the actions that Prem undertakes to show his value to Gupta is consistent with the CFA Institute Standards?

- A. Action 1
- B. Action 2
- C. Action 3

6. Mathew's investment actions upon his return to Mumbai violate CFA Institute Standards with regards to his:

- A. disclosure to clients.
- B. personal tea investments.
- C. gifts of tea samples to clients.

II. Case answers:

1. Answer: B

B is correct because Prem's employer, Ashoka is not able to provide best execution for Gupta's customers because of the longer timeframe required to execute trades. Thus Mathew is in violation of Standard III (A) – Duties to Clients. Mathew's independence and objectivity are unlikely to be compromised by Prem's arranging the itinerary because Mathew had specifically identified the companies he wanted to visit. Mathew also added questions to Prem's list of questions to be addressed with management during their interviews, so Mathew's independence and objectivity would not likely be compromised. Ashoka's offer to pay for the trip expenses also does not necessarily compromise Mathew's independence and objectivity with regard to making investment recommendations or taking investment action (Standard I (B) Independence and Objectivity). Also of note, there doesn't appear to be any evidence that soft dollar commissions were not being used for the benefit of Gupta clients because the research trip is for their benefit.

2. Answer: C

C is correct because by agreeing to Mathew's stipulation, Prem is in violation of Standard III (B). Standard III (B) obliges CFA Institute members and candidates to ensure that information is disseminated in such a manner that all clients have a fair opportunity to act on every recommendation. Prem let Mathew's clients trade on information garnered on the research trip before Prem even disseminates this information to his clients, a violation of Standard III (B). In addition, Standard I (A) states that members and candidates are responsible for violations in which they knowingly participate or assist. By making a stipulation regarding the release of investment recommendations unfairly to all Ashoka clients, Mathew is knowingly participating with or assisting Prem in violating Standard III (B) and thus violates Standard I (A). Therefore, both Prem and Mathew have violated CFA Institute Standards.

3. Answer = A

A is correct because while the information is non-public, it is unlikely that news of a new factory layout would be considered "material," especially in that it does not require new machinery or personnel. Therefore, no public disclosure is required. Independent verification is not necessarily required because Prem and Mathew are able to see the increased efficiencies during their factory tour.

4. Answer = A

A is correct because the statistics cited are referenced as being from the India Tea Board and the Sri Lanka Tea Board. Thus, Prem is not trying to pass the information off as his own. However, he has violated Standard VII (B) with regard to the use of the CFA designation. Prem is not allowed to use his designation as a title or noun— that is, "Chartered Financial Analyst." The Chartered Financial Analyst and CFA marks must always be used either after a charterholder's name or as adjectives (never as nouns) in written documents. For example, to refer to oneself as a "CFA" or a "Chartered Financial Analyst" is improper. The correct usage would be John Jones, Chartered Financial Analyst, or Jane Smith, CFA. Prem also violated Standard IV (B) Communication with Clients by citing dated tea production information. As a result, clients are unlikely to be able to follow the reasoning behind his recommendation.

5. Answer = A

A is correct because a list of the reports Prem has created is not considered research so he has not violated Standard IV – Duty to Employers or Standard V (C). Also, he created the list after working hours and used his personal laptop, so he has not used company resources to create this list.

6. Answer = B

B is correct because Mathew has violated CFA Standard VI (B) Priority of Transaction. Mathew buying thinly traded shares in a frontier market for his personal account at the same time as he is buying them for his clients is likely to harm his clients because the share prices would rise before all the shares are purchased. However, gifts of tea samples to Mathew's clients are insignificant and unlikely to contribute to their decisions to implement Mathew's investment recommendation. Consequently, he has not violated Standard I (B) Independence and Objectivity. He also made appropriate prior disclosures to his clients about his tea investment, so he is not in violation of Standard VI (A) Disclosure of Conflicts.

Case study 3: Forster Investment Advisors

Forster Investment Advisors (Forster) is a small asset management firm managing funds for both retail and institutional clients. Forster also undertakes investment banking activities, including market making, but only for the shares of a few companies that it follows closely.

Forster's finance director, who also serves as the firm's compliance officer, has given notice that he will retire in one month's time. Forster's managing director asks Terry McGuinn, CFA, if he would be interested in being the compliance officer after the finance director retires. McGuinn, an independent compliance consultant whose clients mostly include pension funds, agrees to meet the managing director to discuss the position.

At the meeting, McGuinn is told, "Forster adopted the CFA Institute Code and Standards 10 years ago. The outgoing finance director assured us at the time that we adopted the Code and Standards that all of Forster's policies and procedures met the requirements most of the recommendations as well. As a result, we mention compliance with the Code and Standards in all of our marketing material. We encourage you to implement new changes, but the implementation will need to be coordinated through the human resources department." After agreeing on written specific duties and responsibilities for the role, McGuinn accepts the offer to act as Forster's compliance officer on a part-time consultancy basis.

On his first day as the new compliance officer, McGuinn immediately reviews a draft response to a request for proposal (RFP) to be submitted the next day to a potential pension fund client. The proposal is identical to another RFP sent out three months ago and includes Forster's organizational chart, an in-depth description of its investment process and the occasional use of third-party research providers, and a guarantee of a minimum 5% investment return and return of principal through a guaranteed structured savings product, underwritten by an investment-grade life insurance company. McGuinn approves the RFP document without making any changes.

That same day, Colleen Collins, a research analyst, approaches McGuinn, concerned that she may be in possession of insider information. Collins relates that she was at a party the night before and overheard a conversation between two CEOs of competing, publicly listed manufacturing companies. The CEOs discussed, but did not express their opinions on, the validity of a recent article published in an online industry newsletter, which was speculating on the benefits of a merger between their two companies. The newsletter is available by subscription only. One of these companies is on Forster's recommended buy list.

Following this conversation, McGuinn feels it is necessary to enhance Forster's rules and procedures when dealing with possible insider information. He recommends the following changes to the company's policies and procedures:

Recommendation 1: Stop market-making activities when in possession of material nonpublic information.

Recommendation 2: Regularly review employee and proprietary trading.

Recommendation 3: Require all employees to attend an annual refresher course on how to identify and handle material nonpublic information.

After reviewing how Forster chooses and retains its stockbrokers every year, McGuinn makes several changes in the policy. The following guidelines are implemented and communicated to clients. Stockbroker selection must be based on the brokers' ability to:

Guideline 1: provide accounting software.

Guideline 2: execute client transactions efficiently.

Guideline 3: obtain invitations to investment conferences for loyal clients.

After undertaking investigations based on an anonymous report, McGuinn confirms that several Forster fund managers were witnessed being wined and dined over the past few weeks by large brokerage firms trying to get Forster's business. The same employees have not notified him about these dinners, a violation of Forster's internal policies. McGuinn notifies the employees in writing that they have been violating the company policy. In the letter of notification, he requires the employees to abide by the policy in the future.

I. Case questions:

1 Is McGuinn's proposed compliance officer structure most likely consistent with the CFA Institute Code and Standards?

A No, with regard to authority and responsibility.

B Yes .

C No, with regard to policies and procedures.

2 Which item in the request for proposal (RFP) is least likely consistent with Standard I(C)– Misrepresentation?

A Guaranteed investment return

B The firm's organizational structure

C Use of third- party research providers

3 Did Collins most likely receive insider information as defined by the CFA Institute Code and Standards?

A No, because the information is considered non- material.

B Yes .

C No, because the information is considered public.

4 Which of McGuinn's recommendations is least appropriate to implement as per recommended procedures for compliance of Standard II(A)—Material Nonpublic Information?

A Recommendation 1

B Recommendation 2

C Recommendation 3

5 Which guideline with regard to choosing stockbroking services is most likely consistent with Standard III(A)—Duty to Clients?

A Guideline 2

B Guideline 3

C Guideline 1

6 With regard to the fund managers under investigation, the most appropriate additional action McGuinn should take is to:

A monitor their future actions.

B report the misconduct up the chain of command.

C require a statement stating the behavior will cease.

II. Case answers:

1. C is correct.

Forster's adoption of the CFA Code and Standards does not necessarily imply that they currently have in place proper policies and procedures to ensure compliance with the Code and Standards and local legal and regulatory requirements. According to Standard IV(C)–Responsibilities of Supervisors, if a compliance system is non-existent or if an existing compliance system is inadequate, a member should not accept supervisory responsibility until the firm adopts reasonable procedures to allow adequate exercise of supervisory responsibilities. McGuinn should thus undertake a review prior to accepting the position, ascertaining that proper policies and procedures are in place. McGuinn's authority and responsibility appear to have been clearly defined through his written terms of reference, and he was given authority to implement needed changes. McGuinn would be required, however, to supervise and coordinate the implementation through the human resources department.

A is incorrect because McGuinn's authority and responsibility appear to have been clearly defined through his written Terms of Reference and he is being given authority to implement needed changes. McGuinn would be required, however, to supervise and coordinate the implementation through the human resources department.

B is incorrect because Forster's adoption of the CFA Institute Code and Standards does not necessarily imply that they currently have in place proper policies and procedures to ensure compliance with the Code and Standards and local legal and regulatory requirements.

2. B is correct.

The RFP was done on the basis of the old organizational structure, which would have included the retired finance director. Standard I(C) requires members not to misrepresent the qualifications of a firm. With a senior professional leaving the firm, the organizational structure should be updated prior to submitting a RFP for a potential client's consideration.

A is incorrect. The mention of a minimum 5% guarantee is not a violation as it is a guaranteed product, underwritten by an investment grade insurance company.

C is incorrect. The use of third-party research services is allowable and not a violation.

3. A is correct.

When determining whether information is considered "insider," the source of the information must be assessed as required by Standard II(A)–Material Nonpublic Information. Having an industry or trade newsletter speculate on the benefits of a merger between two companies does not necessarily mean the two companies are actually merging. The two CEOs are overheard discussing the newsletter but never provide their perspectives or opinions on the article, so the information is only related to the newsletter. Thus, the information is not considered material.

B is incorrect because an industry or trade newsletter that speculates on the benefits of a merger between two companies does not necessarily mean the two companies are actually planning on merging.

C is incorrect because the newsletter is only available via subscription and is selectively disclosed, so the information contained in it could not be considered public.

4. A is correct.

When a firm acts as a market maker, a prohibition on proprietary trading may be counterproductive to the goals of maintaining the confidentiality of information and market liquidity, as outlined in Standard II(A)—Material Nonpublic Information. In some cases, a withdrawal by the firm from market-making activities would be a clear tip to outsiders. Firms that continue market-making activity while in the possession of material nonpublic information should, however, instruct their market makers to remain passive to the market (i.e., take only the opposing side of unsolicited customer trades).

B is incorrect because regularly reviewing employee and proprietary trading is one recommendation to assess whether trades are being done on the basis of nonpublic material information.

C is incorrect because requiring all employees to attend an annual refresher course in how to identify and handle material nonpublic information is a recommendation that helps to increase awareness of insider information issues. With increased awareness, the likelihood of a violation decreases.

5. A is correct.

Members and candidates have a responsibility under Standard III(A)—Loyalty, Prudence, and Care to obtain best execution (i.e., a trading process that seeks to maximize the value of the client's portfolio within the client's stated investment objectives and constraints). Standard III(A)—Loyalty, Prudence, and Care requires an investment manager to use client brokerage to the benefit of the client and not to the firm unless the methods or policies followed to address the potential conflict of interests is disclosed to the client prior to the firm receiving the benefit. Forster did not do this with regard to the accounting software. In addition, members and candidates have a responsibility under Standard III—Duties to Clients to use client brokerage to the benefit of all clients, not a group of select clients, unless it is under a directed brokerage arrangement. That is not the case in this scenario.

B is incorrect because members and candidates have a responsibility under Standard III—Duties to Clients to use client brokerage to the benefit of all clients, not a group of select clients unless it is under a directed brokerage arrangement that is not the case in this scenario.

C is incorrect because Standard III(A)—Duties to Clients requires an investment manager to use client brokerage to the benefit of the client and not the firm unless the methods or policies followed to address the potential conflict of interests is disclosed to the client prior to the firm receiving the benefit. Forster did not do this.

6. A is correct.

As a supervisor, under Standard IV(C)—Responsibilities of Supervisors, McGuinn has a responsibility after he notices and investigates the violation to monitor the employees to ensure that the errant behavior has changed and conforms to the Code and Standards. Reporting the violation up the chain of command along with requiring a statement from the employees stating the behavior will not be repeated is not enough.

B is incorrect because reporting the violation up the chain of command is not enough as per Standard IV(C)—Responsibilities of Supervisors.

C is incorrect because a statement from the errant employees stating they will cease the violating activity is not enough.

Case study 4: Lucas Thorpe Case Scenario

One month ago, Lucas Thorpe, a portfolio manager for an investment management firm and a CFA Program Level II candidate, received a letter from Keiko Okada, CFA, the designated officer for the CFA Institute Professional Conduct Program (PCP). The letter explained that the PCP had received a complaint, accusing him of violating the CFA Institute Code of Ethics and Standards of Professional Conduct. Okada requested Thorpe's cooperation, asking him to explain why he sold publicly traded Savanna Honey Products (Savanna) shares for both his personal and client accounts. Okada noted the anonymous complaint she received indicated that sales were executed one day after his research visit to Savanna and the day before Savanna released an earnings warning due to an expected significant drop in profit margins.

In his defense, Thorpe responded in a letter to Okada as follows: "I arranged the research visit to Savanna as part of my routine review of the company. We're a small firm, so the portfolio managers do their own analysis. The earnings warning information I received from the chief financial officer (CFO) of Savanna was freely given; I didn't ask for it. The CFO even stated he had been giving the same information to any analyst who had visited in the last two days. My clients would have been harmed if I had not sold, because other managers would be selling before me. Besides, what I did is not illegal in my market. I treated my clients fairly; I sold Savanna shares for all my clients before I sold my own."

Concerned about the strength of his defense and to avoid any additional violations, Thorpe consulted with the firm's compliance officer. Consequently, to support his claim that he did not violate Standard III (B): Fair Dealing and without violating his firm's policies or any applicable local laws, Thorpe provided Okada copies of documents for all the trades executed for his clients, including contact details and the percentage of assets under management (AUM) the trades represented.

Thorpe further stated in his letter to Okada that he received from the CFO six very large gift baskets full of high-end honey products worth USD100 per basket. He explained his firm has a very strict policy about accepting gifts valued at more than USD100 per gift. Thorpe accepted and distributed the gift baskets on behalf of himself and his five colleagues. However, he noted that the gifts in no way influenced his investment decision.

Following Thorpe's submission to the CFA Institute Professional Conduct Program, Okada informs him he has been found in violation of the CFA Institute Standards of Professional Conduct and will be publicly sanctioned and prohibited from future participation in the CFA Program exams. Thorpe contests the sanction and asks to present his case to a Disciplinary Review Committee Hearing Panel. While presenting his case, Thorpe mentions he regularly collects information he finds in the public domain when determining investment recommendations for his clients' portfolios. He states that for "fast-moving consumer goods" (FMCG), he collects data by talking to industry experts who are former consultants of competing firms, making his own observations of the number of times grocery store shelves are restocked as well as gathering information from open specialty social media sites.

Thorpe continues by informing the Hearing Panel that he worked with his firm's compliance officer after the firm adopted the CFA Institute Code and Standards to enhance its policies regarding the handling of material non-public information. Currently the firm restricts proprietary and personal trading when portfolio managers are in possession of material non-public information. Thorpe shares with the Hearing Panel the following draft policies being considered for adoption to ensure compliance with Standard II(A): Material Nonpublic Information:

Policy 1: Portfolio managers are required to submit to the compliance officer all research reports distributed to clients.

Policy 2: Heightened review of all trading when the firm is in possession of material non-public information is required.

Policy 3: Receipt of potential material non-public information should be reported at the next earliest compliance meeting.

Shortly after Thorpe's presentation to the Hearing Panel, he states on his social media page, "I'm desperate! I'm so afraid I'll be permanently kicked out of the CFA Program. But I've taken the following actions to protect myself no matter what the outcome:

- I've written to all my clients to reconfirm my commitment to continuing education, but I left out the part about the potential sanction;
- I complained to my compliance officer about how unfair I thought the Hearing Panel process is in case my boss wants to fire me; and
- I advertised in the CFA Society newsletter to promote my new consulting practice to help people going through a disciplinary review."

I. Case questions:

1 As a result of Thorpe's admission he traded in Savanna shares, which CFA Institute Standard of Practice will Okada least likely investigate for a possible violation?

- A Professionalism
- B Duties to Clients
- C Integrity of Capital Markets

2 Should Thorpe most likely revise how he submitted his Fair Dealing defense to avoid violating Standard III(E): Preservation of Confidentiality?

- A No.
- B Yes, he must delete the contact details.
- C Yes, he must remove the AUM percentage details.

3 Did Thorpe most likely violate CFA Institute Standard I: Professionalism by accepting the CFO's six gift packages?

- A No.
- B Yes, he violated Standard I(C): Misconduct.

C Yes, he violated Standard I(B): Independence and Objectivity.

4 Which of Thorpe's information-gathering techniques described to the Hearing Panel most likely requires him to exercise more care to avoid violating the CFA Institute Standards of Professional Conduct?

A Data from social media

B Use of industry consultants

C Grocery turnover observations

5 Which of the draft policies concerning Standard II(A): Material Nonpublic Information should Thorpe's firm most likely adopt?

A Policy 1

B Policy 2

C Policy 3

6 Which of Thorpe's actions after the Hearing Panel presentation most likely violated CFA Institute Standards?

A His letter to his clients

B His complaint to the compliance officer

C His new disciplinary review consulting practice

II. Case answers:

1. B is correct.

Okada is least likely to investigate CFA Institute Standard III: Duties to Clients. When trading in Savanna shares, Thorpe likely displayed loyalty, prudence, and care by putting the interests of his clients before his own, as required under Standard III: Duties to Clients. Thorpe, however, likely violated Standard II: Integrity of Capital Markets when he traded on information that could be considered material and non-public. Despite insider trading being legal in Thorpe's jurisdiction, as a CFA candidate, he is required under Standard I: Professionalism to uphold the stricter standard, which in this case is the CFA Institute Code and Standards. By violating Standard II: Integrity of Capital Markets, he has likely violated Standard I: Professionalism.

A is incorrect because despite insider trading not being against the law in Thorpe's jurisdiction, as a CFA candidate, he is required to uphold the CFA Institute Code of Ethics and Standards of Professional Conduct. Because insider trading is a violation of the Standards, he likely violated Standard I: Professionalism by not upholding the stricter CFA Institute Standards. In this case, Standard II: Integrity of Capital Markets is stricter than the laws of Thorpe's jurisdiction.

C is incorrect because Thorpe likely violated Standard II: Integrity of Capital Markets in that he traded on information that could be considered material, because a lower earnings forecast would likely negatively affect the share price if it were known to the public. The earnings warning was not yet available to the public, so by trading in advance of the notice, Thorpe likely traded on material non-public insider information. Even though insider trading is not illegal in Thorpe's market, he has an obligation to follow the stricter standard—the CFA Institute Code and Standards.

2. A is correct.

It is not necessary for Thorpe to revise the information he submitted to support his claim. Any information provided to the Professional Conduct Program as evidence in an investigation of a member's or candidate's professional conduct is kept in the strictest confidence. Therefore, a member or candidate under investigation who submits confidential client information to the PCP is not in violation of Standard III(E): Preservation of Confidentiality.

B and C are incorrect because any information submitted to the Professional Conduct Program as evidence in an investigation of a member or candidate's professional conduct is kept in the strictest confidence.

3. A is correct.

Thorpe did not violate CFA Institute Standard I: Professionalism. Thorpe was unlikely to be influenced by the gift baskets when making the investment decision, because his primary interest was to protect his clients and himself and the share price was anticipated to fall after the earnings warning was publicly released. Standard I(B): Independence and Objectivity prohibits the acceptance of gifts that would jeopardize a member's or candidate's independence and objectivity. In addition, because the gift baskets' total value was USD600 and they were being shared among six people, Thorpe was in compliance with the firm's gift policy of not accepting a gift valued at more than USD100. Standard I(D): Misconduct requires Thorpe to comply with his firm's policies so as to not reflect adversely on his professional

reputation and integrity. Thorpe most likely did not violate any CFA Institute Standard I: Professionalism provisions when accepting the gift baskets on behalf of his colleagues.

B is incorrect because even though the gift baskets' total value was USD600, they were shared among six people; therefore, Thorpe was in compliance with the firm's policy of not accepting a gift valued at more than USD100 per gift. Standard I(D): Misconduct requires Thorpe to comply with his firm's policies so as to not reflect adversely on his professional reputation and integrity.

C is incorrect because Thorpe was unlikely to be influenced by the gift baskets when making the investment decision because his primary interest was to protect his clients and himself and the share price was anticipated to fall after the earnings warning was publicly released. Standard I(B): Independence and Objectivity prohibits the acceptance of gifts that would jeopardize a member's or candidate's independence and objectivity.

4. B is correct.

Thorpe's use of industry experts who are former consultants of competitors of Savanna puts him at risk of violating Standard II: Integrity of Capital Markets. Even though the experts are former consultants, they still may be in possession of pertinent confidential information that is material and non-public. Standard II: Integrity of Capital Markets dictates that members and candidates are ultimately responsible for ensuring they are not requesting or acting on confidential information received from external experts.

A is incorrect because the use of data from a specialty social media site open to the public would not cause Thorpe to gather material non-public information, so he would not be in violation of Standard II: Integrity of Capital Markets.

C is incorrect because Thorpe's personal observations of grocery stock turnover of products would be considered non-material and public information. Therefore, information collected via this technique would be used as part of a mosaic of gathering data to determine an investment recommendation. No violation of Standard II: Integrity of Capital Markets has taken place.

5. B is correct.

Thorpe's firm should adopt Policy 2: Heightened review of all trading when the firm is in possession of material non-public information is required. This is a recommended procedure to prevent a violation of Standard II(A): Material Nonpublic Information in that it helps to restrict the flow of confidential information to those who need to know the information to perform their jobs effectively. Any trading in a restricted security could help detect information leaks.

A is incorrect. To prevent potential violations of Standard II(A): Material Nonpublic Information, the policy should state that the research reports should be reviewed by the compliance officer prior to, not after, client distribution. The compliance officer will review the reports to determine whether any of the recommendations are based on material non-public information.

C is incorrect because a recommended procedure for Standard II(A): Material Nonpublic Information is that such information should be reported to the compliance officer immediately upon receipt. Waiting until the next compliance meeting, which could be days or even weeks later, would be inconsistent with the recommended procedures.

6. C is correct.

Thorpe violated Standard IV(A): Loyalty by establishing a new disciplinary review consulting business that would deprive his current employer of his time and energy, because Thorpe would likely spend a great amount of time to develop his own business. He did not violate Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate by writing to his clients to reaffirm his commitment to continuing education despite not informing them of a potential sanction, because the sanction had yet to be finalized. Nor did he violate Standard VII by making a complaint to his compliance officer; Members and Candidates are allowed to express opinions about the program and CFA Institute.

A is incorrect because Thorpe did not violate Standard VII by writing to his clients to reaffirm his commitment to continuing education despite not informing them of a potential sanction, because the sanction had yet to be finalized.

B is incorrect because Thorpe did not violate Standard VII by making a complaint to his compliance officer; Members and Candidates are allowed to express opinions about the program and CFA Institute.

Case study 5: QuantHouse

QuantHouse (QH) is a global investment firm that pioneered the use of quantitative techniques to implement investment strategies.³ Three years ago, the firm hired Daniel Singh, PhD, CFA, a well-known finance professor. Singh created the Artificial Trading Model (ATM), a comprehensive model that captures and processes a substantial amount of publicly available information (company financial data, news, and industry information) and then makes investment decisions largely without human interaction. ATM has three components: an Alpha Model, a Risk Model, and an Optimizer. The Alpha Model evaluates public companies based on their earnings and valuation. The Risk Model identifies stock-specific risk and common factor risks (industry specific, country specific, and stock fundamental risks). The Optimizer takes the output from the Alpha and Risk Models, balances them against one other, and recommends an optimal client portfolio based on the client's chosen benchmark.

Singh uses the ATM model exclusively for QH's institutional clients and does not mention it when talking with his high-net-worth individual clients. Singh and his team of programmers update the Alpha and Risk components of the ATM on a quarterly basis. On an annual basis, consistent with QH's guidelines for all computer-based models, Singh reviews the Optimizer component and conducts extensive scenario tests with the overall model. **(Questions 1, 2)**

Recently, some of QH's institutional clients have been voicing concerns about their portfolios' underperformance. In particular, they have expressed dissatisfaction with the overexposure to certain industries in their portfolios, an element that is partly controlled by the ATM's ability to manage risk. In response to these complaints, QH's director of research and Singh's supervisor, Charlotte Ringfield, CFA, asks Singh to review the model. After doing so, Singh finds that the Optimizer is incorrectly reading the Risk Model's assessment of common risk factors and, as a result, is not weighting them appropriately.

Singh then meets with his team of analysts who helped create the model to determine the source of the error. They find that some of the Risk Model components are sending information to the Optimizer in decimal form while other components are sending information in percentages. This improper scaling has resulted in the Optimizer giving inappropriate weights to some of the common risk factors. After discovering the source of the error, Singh and his team meet with Ringfield to present their findings. Singh advocates that the error be fixed as soon as possible, but Ringfield disagrees and tells him to correct the error when the Risk Model is updated at the end of the quarter. She also asks Singh to temporarily disable the common risk factors in the Risk Model until the model is updated. Ringfield then asks Singh and his team not to mention the error to others and reminds them that they signed confidentiality and nondisclosure agreements when they were hired. She goes on to say that she and the investment committee will handle all disclosures to clients and senior management once the model is updated at the end of the quarter. **(Questions 3, 4)**

Two weeks later, after a very turbulent period in the financial markets, more clients complain about their portfolios' underperformance. Ringfield tells the portfolio managers about the error. When clients inquire about their portfolio's performance, Ringfield attributes the performance to market volatility and the functioning of the model's common risk factors. **(Question 5)**

Disturbed by the behavior of his colleagues and superiors, who have not yet revealed the error to clients, Singh decides to leave QH. He interviews with QH's largest competitor, Algos-R-Us (ARU). During his interview with ARU's hiring committee, Singh shows them a proprietary model that he has been

developing for the past two years in his spare time (nights and weekends). His new model, which he calls StockStar, is based on years of academic research at his university, and Singh considers it to be his life's work. In addition to back-testing the model, Singh has used StockStar to manage his personal portfolio and the portfolios of his family in order to generate actual performance results. Impressed by Singh and his model, the hiring committee not only offers him a job but also offers to pay him a special licensing fee for the use of his StockStar model. Singh accepts the offer and returns to QH to tender his resignation. **(Question 6)**

On his first day at ARU, Singh presents the following information to the marketing department about the StockStar model's performance. This information will be incorporated into a new marketing brochure that will be mailed to current and prospective clients.

StockStar Model Performance: Actual and Back-Tested Returns*			
	Model's Performance (%)	Benchmark Return (%)	Excess Return (%)
Back-tested returns			
2012	10.5	6.5	4.0
2013	-2.5	-6.0	3.5
2014	20.3	25.0	-4.7
2015	0.5	-6.8	7.3
Actual returns			
2016	8.5	2.2	6.3
2017	12.0	-0.5	12.5
(*) The benchmark return is based on the S&P/ASX 200 index. Note that past performance does not guarantee future results.			

In the brochure, Singh states the following: "This model has been used to manage real portfolios over the past two years and has outperformed its benchmark in both years. In back-tests, the model has outperformed its benchmark in three out of four years." **(Question 7)**

1. Case questions

Question 1:

Does Singh violate the CFA Institute Code and Standards by using the ATM model exclusively for QH's institutional clients?

- A. No.
- B. Yes, because the model may be suitable for some non-institutional clients.
- C. Yes, because he must at least mention the model when talking to high-net worth individuals.

Question 2:

Prior to the performance concerns voiced by QH's institutional clients, did Singh violate the CFA Institute Code and Standards in the updating of the ATM model components?

- A. Yes

- B. No, because he updates the model's Alpha and Risk components on a quarterly basis
- C. No, because he followed the firm's guidelines and annually reviews the Optimizer and conducts scenario testing on the overall model

Question 3:

According to the CFA Institute Code and Standards, what is the next action (from those below) that Singh should take following his conversation with Ringfield about the model error?

- A. Dissociate from the firm.
- B. Contact the firm's clients.
- C. Contact senior management.

Question 4:

Did Singh violate the CFA Institute Code and Standards by not immediately fixing the error in the ATM model?

- A. Yes.
- B. No, because the error will be fixed next quarter
- C. No, because Singh disabled the common risk factors in the Risk Model as ordered by Ringfield

Question 5:

Did Ringfield violate the CFA Institute Code and Standards when talking with clients about their portfolios' underperformance?

- A. Yes.
- B. No, because the market was turbulent
- C. No, because the model's common risk factors were to blame

Question 6:

Did Singh violate the CFA Institute Code and Standards with respect to his duties to his employer, QuantHouse, in developing his StockStar model?

- A. No.
- B. Yes, because the model was developed while he was working at QH.
- C. Yes, because he invests his personal and family portfolios using the model.

Question 7:

In the table that Singh provides to the marketing department, does he violate the CFA Institute Code and Standards?

- A. No, because he presented the performance information in the manner required by the CFA Institute Code and Standards.

B. Yes, because he should have included only the actual performance results of the model.

C. Yes, because he should have disclosed that he used his personal and family portfolios to generate actual results.

2. Case answers:

Question 1:

A is correct. It is not a violation of Standard III(B): Duties to Clients—Fair Dealing to use different investment models when working with different types of clients. The ATM model may be suitable only for institutional clients because of the size of their portfolios, among other factors. Standard III(B) requires members and candidates to treat all clients fairly when disseminating investment recommendations; making material changes to prior investment recommendations; or when taking investment action with regard to general purchases, new issues, or secondary offerings. Each client has unique needs, investment criteria, and investment objectives, so not all investment opportunities are suitable for all clients.

B is incorrect. It is not a violation of the Code and Standards to use different investment models when working with different types of clients, because some models may be suitable only for specific clients. There is no information in the case to indicate that the model is suitable for clients other than institutional investors.

C is incorrect. There is no duty under the Code and Standards to disclose all available investment models when working with different types of clients, because some models may be suitable only for specific clients. There is no information in the case to indicate that the model is suitable for clients other than institutional investors.

Question 2:

A is correct. Singh violated Standard V(A): Investment Analysis, Recommendations, and Actions—Diligence and Reasonable Basis. Members and candidates must understand the statistical significance of the model results they recommend and must be able to explain these results to clients. Singh did not take adequate care to ensure a thorough review of the model was taking place with appropriate frequency. Although the Alpha and Risk components are updated quarterly, he reviews the Optimizer, which links the two prior components, and the overall model itself on only an annual basis. Singh should have tested each of the model's components, and their combined interactions, with the same quarterly frequency.

B is incorrect. Although Singh updates the Alpha and Risk components quarterly, he reviews the Optimizer, which links these two components, and the overall model itself on only an annual basis. He should review all components as well as the overall model with the same frequency.

C is incorrect. Singh should review all components as well as the overall model on the timeframe that is appropriate (quarterly here) and at a minimum conforms to the firm's guidelines.

Question 3:

C is correct. Singh should contact senior management before dissociating himself from QH or contacting QH clients. Upon discovery of the error, Singh should try to fix the model immediately. By not fixing the model immediately, Singh is harming QH clients. In not gaining Ringfield's approval to fix the error immediately, the next action Singh should take is to contact Ringfield's boss or senior management to make them aware of the situation. According to Standard I(A): Professionalism—Knowledge of the Law, "If a member or candidate has reasonable grounds to believe that imminent or ongoing client or

employer activities are illegal or unethical, the member or candidate must dissociate, or separate, from the activity. In extreme cases, dissociation may require a member or candidate to leave his or her employment. Members and candidates may take the following intermediate steps to dissociate from ethical violations of others when direct discussions with the person or persons committing the violation are unsuccessful. The first step should be to attempt to stop the behavior by bringing it to the attention of the employer through a supervisor or the firm's compliance department. If this attempt is unsuccessful, then members and candidates have a responsibility to step away and dissociate from the activity."

A is incorrect. Dissociating from the firm is the final step in the process. Standard I(A) establishes next steps as follows: "The first step should be to attempt to stop the behavior by bringing it to the attention of the employer through a supervisor or the firm's compliance department. If this attempt is unsuccessful, then members and candidates have a responsibility to step away and dissociate from the activity."

B is incorrect. Contacting the firm's clients directly is not a permitted intermediate step under Standard I(A).

Question 4:

A is correct. By not fixing the error in the ATM model immediately, Singh is violating Standard III(A): Duties to Clients—Loyalty, Prudence, and Care. Members and candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgement. By not immediately fixing the error in the model, Singh is not acting for the benefit of clients, nor is he placing client interests before his employer's or his own interests.

B is incorrect. The error should have been fixed immediately. According to Standard III(A), "Investment actions must be carried out for the sole benefit of the client and in a manner the member or candidate believes, given the known facts and circumstances, to be in the best interest of the client." It was in the best interest of clients to fix the error in the model immediately.

C is incorrect. Disabling the common risk factors in the Risk Model did not address the underlying error. The error should have been fixed immediately regardless of Ringfield's order. According to Standard III(A), "investment actions must be carried out for the sole benefit of the client and in a manner the member or candidate believes, given the known facts and circumstances, to be in the best interest of the client." It was in the best interest of clients to fix the error in the model immediately.

Question 5:

A is correct. When talking with clients about their portfolios' underperformance, Ringfield was in violation of Standard I(C): Professionalism—Misrepresentation. Members and candidates must not knowingly make any misrepresentations relating to investment analysis, recommendations, actions, or other professional activities. By attributing the underperformance of client portfolios to market volatility, she is not telling them the real reason for the underperformance. In addition, the common risk factors have been disabled, so they are not functioning as intended for the model.

B is incorrect. The reason for the underperformance of client portfolios is the error in the model, not market turbulence. Ringfield violated Standard I(C) regarding misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.

C is incorrect. The reason for the underperformance of client portfolios is the error in the model, not the model's common risk factors. Ringfield violated Standard I(C) regarding misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.

Question 6:

A is correct. Singh is not in violation of the CFA Institute Code and Standards, Standard IV(A): Duties to Employers—Loyalty. In this case, Singh developed the StockStar model in his spare time (on nights and weekends) and used the model to manage only his personal and family portfolios. In addition, he has not been compensated for the model.

B is incorrect. It is not a violation of Standard IV(A): Duties to Employers—Loyalty to develop a model in his spare time.

C is incorrect. It is not a violation of Standard IV(A): Duties to Employers—Loyalty, to use his personal and family portfolios to test or invest in the model.

Question 7:

A is correct. Singh has not violated Standard III(D): Duties to Clients—Performance Presentation related to performance presentation because he has presented both the actual and back-tested performance of the model and clearly distinguished between the two. He has also noted that past performance does not guarantee future results.

B is incorrect. Standard III(D): Duties to Clients—Performance Presentation encourages full disclosure of investment performance data. Both actual and simulated performance measures are allowed as long as they are clearly disclosed. Singh fully explained the performance results being reported, stating that results are simulated (back tested) when model results are used and indicating that the actual and back-tested results are gross of fees.

C is incorrect. Standard III(D): Duties to Clients—Performance Presentation does not prohibit showing past performance of funds managed as long as appropriate disclosures are made, including the person's role in generating that performance. Singh fully explained the performance results being reported, stating that results are simulated (back tested) when model results are used and indicating that the actual and back-tested results are gross of fees.

Case study 6: JR and Associates

Jacobs, Riccio, and Associates (JRA) is a global investment advisory firm that primarily provides high-net-worth individuals and their families with personalized wealth management solutions such as wealth planning, retirement planning, investment management, and trust and fiduciary services.⁴ In addition, the firm has a small number of institutional clients. JRA employs 25 investment advisers and portfolio managers.

Benjamin Jacobs, CFA, and Andrew Riccio, CFA, founded JRA 10 years ago. Prior to establishing the firm, Jacobs worked as a lawyer for Brightman Partners, a large and prestigious law firm that specializes in real estate, family law, and estate planning. Riccio worked as a Certified Public Accountant for Earnest & Olds (E&O), a multinational professional services firm that specializes in providing tax, consulting, and advisory services to corporations and individuals. Kathy Parker, CFA, joined the firm as the third senior partner two years after it was founded. Previously, she had worked for the Frontline Group, a broker/dealer. JRA acquires most of its clients through referral arrangements put in place by the three senior partners.

Jacobs has a fee-sharing arrangement with his former colleagues at Brightman Partners (BP) when they refer clients to JRA. The annual investment fee stated in JRA's marketing brochure is higher than the fee most of its clients pay because Jacobs offers a discount on the investment fee to clients who are referred by BP lawyers. This discount encourages the BP lawyers to market JRA's services to their clients. In return, JRA shares a portion of the client's annual investment advisory fee with the referring lawyer. The lawyers at BP disclose this fee-sharing arrangement with the clients that they refer to JRA. JRA discloses all of this information in the JRA investment management agreement that individuals sign at the time they become clients. **(Questions 1, 2)**

Riccio offers a similar fee discount and sharing arrangement to accountants at his previous firm, Earnest & Olds (E&O), who refer their clients to JRA. Over time, however, Riccio has observed that many of JRA's clients are reluctant to tell their investment adviser about securities and real estate holdings that are managed at other firms. As a result, the adviser does not have a complete understanding of the client's overall financial position. To assist JRA advisers in developing more-realistic and accurate investment policy statements, the accountants at E&O provide a copy of their referred client's tax returns to the client's JRA adviser after they open an account at JRA. This step allows JRA advisers to "know their client" better and provides greater transparency into their client's financial condition. In return, JRA advisers provide their clients' quarterly account statements to their E&O accountants to help with their tax planning and year-end tax preparation. Client approval is not needed for this information sharing because clients sign confidentiality statements directly with their E&O accountants and JRA advisers, and because they often view their investment adviser and their accountant as a team. **(Question 3)**

Kathy Parker has a somewhat different referral arrangement in place with the Frontline Group. Frontline's brokerage unit refers all of its small institutional clients (pension plans, profit sharing plans, and endowments) that are looking for investment management to JRA. In return, all of the trading from these accounts continues to be executed through Frontline's broker/dealer. Because Frontline continues to provide "best price and best execution" to these clients, Parker believes no additional client disclosures are necessary because client trading is unaffected. **(Question 4)**

Since starting JRA, Jacobs and Riccio have developed a close relationship with Tim Carroll, an independent consultant they met at a networking event. Carroll is hired by pension funds to solicit and review proposals

from investment advisers who wish to manage a portion of the pension fund's assets. Over the years, Carroll has been instrumental in JRA's success by referring several of his pension fund clients to the firm because of the firm's outstanding performance record and superior client service. To thank Carroll for all of his hard work on JRA's behalf (regardless of whether Carroll's pension fund clients actually hire JRA), Jacobs and Riccio each make sizable annual donations to Carroll's Children's Charity, a non-profit organization Carroll created to benefit orphans. Because these donations are made annually, they are not disclosed to the pension funds referred by Carroll who become JRA clients. (Question 5)

Recently, JRA hired Mufid Othan, an investment adviser and CFA charterholder who previously worked at JRA's largest competitor, Sack International. To attract Othan and his large "book of clients," JRA offered him \$500 for each client he "brought over" from Sack. While at Sack, Othan was allowed to connect with all of his clients through his personal social media platforms. This not only enabled him to build an electronic database containing the names, addresses, phone numbers, and email addresses of all his clients but also helped him to provide superior client service by "following" his clients' personal and professional lives. When Othan tendered his resignation from Sack, he was immediately escorted out of the building. Othan spent the following weekend contacting all of his clients via social media to tell them about his resignation and to encourage them to join him at JRA. He did not disclose to them, however, that he was being paid \$500 for each client he brought over from Sack. (Questions 6, 7)

A few weeks after beginning work at JRA, Othan hired Zane Ode, a recent college graduate, who recently found out she had passed Level III of the CFA Program examination. After hearing the good news about her success with Level III, Ode posted the following comments in a CFA candidate chatroom:

Comment 1: "I can't believe I passed the exam; the ethics questions were super hard."

Comment 2: "Wow, I scored above the Minimum Performance Score (MPS) on derivatives. I still don't know what answer was right for the two-part contango-backwardation question."

Comment 3 "The graders must have been quite lenient in grading my answers to the constructed response questions."

Ode now has three and a half years of experience in the investment industry. Nevertheless, Othan has already made a habit of introducing her to current and prospective clients as the firm's "newest CFA," and Ode has said nothing to correct him. **(Questions 8, 9)**

1. Case questions

Question 1:

Does Jacobs violate the CFA Institute Code and Standards by offering his referral clients a lower investment advisory fee than the one quoted in JRA's marketing brochure?

A. No.

B. Yes, because JRA is misrepresenting its fees.

C. Yes, because JRA is not dealing with its clients fairly.

Question 2:

Does Jacobs violate the CFA Institute Code and Standards in his disclosure of referral arrangements to his clients?

A. Yes

B. No, because the lawyers disclose to their clients the discount that JRA offers

C. No, because the discount and the fee-sharing arrangement is disclosed to individuals at the time they sign the investment management agreement

Question 3:

Do JRA advisers violate the CFA Institute Code and Standards by sharing client information with the accountants at E&O?

A. Yes.

B. No, because the client views representatives from both firms as a team.

C. No, because the client has signed confidentiality agreements with both firms.

Question 4:

Has Parker violated the CFA Institute Code and Standards in her referral arrangement with Frontline Group?

A. Yes.

B. No, because Frontline Group continues to provide “best price” and “best execution”

C. No, because nothing has changed—all client trades are still executed by Frontline

Question 5:

Did Jacobs and Riccio violate the CFA Institute Code and Standards by making annual donations to Carroll’s Children’s Charity?

A. No.

B. Yes, because these donations create a conflict of interest

C. Yes, because these donations create a conflict of interest

Question 6:

Othan violate the CFA Institute Code and Standards by contacting his Sack International clients via social media after leaving Sack?

A. No.

B. Yes, because he is using client confidential information.

C. Yes, because the client information he is using belongs to Sack.

Question 7:

Did Othan violate the CFA Institute Code and Standards by not disclosing to clients that he was receiving \$500 for each client that he brought over to JRA from Sack?

- A. No.
- B. Yes, because this is a referral fee.
- C. Yes, because this is additional compensation.

Question 8:

Which of the comments Ode posted in the CFA candidate chatroom violated the CFA Institute Code and Standards?

- A. Comment 1.
- B. Comment 2.
- C. Comment 3.

Question 9:

Did Othan violate the CFA Institute Code and Standards in his description of Ode?

- A. Yes.
- B. No, because Ode will be a CFA charterholder in another six months.
- C. No, because Ode has successfully completed all three levels of the CFA Program.

2. Case answers:

Question 1:

A is correct. Jacobs is not in violation of the CFA Institute Code and Standards. According to Standard III (B): Duties to Clients–Fair Dealing, members and candidates may provide more personal, specialized, or in-depth service to clients who are willing to pay for premium services through higher management fees or higher levels of brokerage. The term “fair” implies that the member or candidate must take care not to discriminate against any clients when disseminating investment recommendations or taking investment action.

B is incorrect. JRA is not misrepresenting its fees, because some of its clients are paying the fees that are disclosed in its marketing brochure. In addition, the advertised fees represent the highest fees that clients would pay.

C is incorrect. Standard III (B): Duties to Clients–Fair Dealing focuses on investment recommendations and taking investment action. The case provides no evidence that non-referred clients are being discriminated against or that referred clients are receiving preferential treatment, with respect to the dissemination of investment recommendations or the taking of investment action. Referred clients are simply receiving discounted fees.

Question 2:

A is correct. Jacobs is in violation of Standard VI (C): Conflicts of Interest–Referral Fees, which states, “Members and candidates must disclose to their employers, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services.... Appropriate disclosure means that members and candidates must advise the client or prospective client, before entry into any formal agreement for services, of any benefit given or received from the recommendation of any services provided by the member or candidate.” In this case, the disclosure does not occur until the time the individual signs the investment management agreement, which is too late.

B is incorrect. The case facts state that BP lawyers disclose the fee-sharing arrangement to the clients they refer to JRA. The case facts do not state whether the lawyers disclose the discount offered by JRA. The behavior of the BP lawyers, however, is not covered by the Code and Standards. Disclosures, or lack thereof, by BP lawyers do nothing to mitigate JRA’s duties and responsibilities.

C is incorrect. The discount is disclosed to JRA clients at the time they sign the investment management agreement. According to the Standard VI (C), disclosure must occur before the client enters into a formal agreement.

Question 3:

A is correct. JRA advisers have violated the confidentiality of their clients by not obtaining client approval (written approval is recommended) in advance of sharing their information between each firm. According to Standard III(E): Duties to Clients–Preservation of Confidentiality, members and candidates are required to preserve the confidentiality of information communicated to them by their clients, prospective clients, and former clients. This standard is applicable when (1) the member or candidate receives information because of his or her special ability to conduct a portion of the client’s business or personal affairs and (2)

the member or candidate receives information that arises from or is relevant to that portion of the client's business that is the subject of the special or confidential relationship.

B is incorrect. Although the client has signed confidentiality agreements with both firms, the client has not signed an agreement allowing the sharing of information between the firms.

C is incorrect. Although the client may view representatives from both firms as a team, neither team has received client approval in advance of sharing the client's information. As a practical matter, if JRA advisers request information from prospective clients regarding other investment income and assets and the prospect denies existence of such assets, the adviser is under no obligation to perform additional due diligence to ascertain the existence of other assets.

Question 4:

A is correct. By not disclosing the referral arrangement to clients who were referred to her by Frontline Group, Parker has violated Standard VI (C): Conflicts of Interest–Referral Fees, which states, "Members and candidates must disclose to their employers, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services.... Appropriate disclosure means that members and candidates must advise the client or prospective client, before entry into any formal agreement for services, of any benefit given or received from the recommendation of any services provided by the member or candidate." In this case, there is no evidence to suggest Parker disclosed her referral arrangement with Frontline Group to prospective clients. By not doing so, Parker violated Standard VI (C).

B is incorrect. Regardless of whether Frontline provides "best price" and "best execution" or whether the execution of client trades remains unchanged by Frontline, Parker must still disclose the referral arrangement to her clients.

C is incorrect. Parker must still disclose the referral arrangement to her clients, regardless of the fact that all client trades continue to be executed by Frontline.

Question 5:

B is correct. The donations made by Jacobs and Riccio give Carroll an incentive to refer potential clients to JRA and at the very least give the perception that Carroll's objectivity and independence have been compromised. Jacobs and Riccio are in violation of Standard I(B): Professionalism–Independence and Objectivity, which states, "Members and candidates must use reasonable care and judgement to achieve and maintain independence and objectivity in their professional activities. Members and candidates must not offer, solicit, or accept any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity."

A is incorrect. As already noted, donations made by Jacobs and Riccio give Carroll an incentive to refer potential clients to JRA. This at the very least gives the perception that Carroll's objectivity and independence have been compromised, and so Jacobs and Riccio are in violation of the Code and Standards, specifically Standard I(B): Professionalism–Independence and Objectivity.

C is incorrect. The donations were made to Carroll's charity and do not represent additional compensation to Carroll. Additional compensation is defined in Standard IV(B): Duties to Employers–Additional Compensation Arrangements as "gifts, benefits, or compensation, or consideration that competes with or

might reasonably be expected to create a conflict of interest with their employer's interest." An additional compensation arrangement is one that creates a conflict of interest between the member or candidate and her employer.

Question 6:

A is correct. Othan is not in violation of the CFA Institute Code and Standards. According to Standard IV(A): Duties to Employers—Loyalty, "Members and candidates should understand and abide by all applicable firm policies and regulations as to the acceptable use of social media platforms to interact with clients and prospective clients. This is especially important when a member or candidate is planning to leave an employer." In this case, Sack allowed Othan to use his personal social media platforms to connect with clients. In addition, he did not contact his former clients via social media to inform them about his departure until after he resigned from Sack.

B is incorrect. Contacting his clients via social media after leaving Sack, does not require Othan to use confidential client information.

C is incorrect. Othan used his personal social media platforms to connect with clients. These platforms are not the property of Sack.

Question 7:

A is correct. Othan is not in violation of the CFA Institute Code and Standards. The \$500 does not have to be disclosed to clients because it is not a referral fee or additional compensation, and it does not create a conflict of interest with his employer, clients, or prospective clients.

B is incorrect. According to Standard VI(C): Conflicts of Interest—Referral Fees, referral fees are "any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services." The \$500 Othan received from JRA for each client he brought over from Sack is not a referral fee because the \$500 is being paid by the employer (JRA) to the employee (Othan) for services provided. This amount is compensation paid by the firm, not a fee charged to clients.

C is incorrect. Additional compensation is defined in Standard IV(B): Duties to Employers—Additional Compensation Arrangements as "gifts, benefits, or compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest." The \$500 is not additional compensation, and there is no conflict with the employer's interests. Although disclosure of all bonus arrangements may add clarity, the Code and Standards do not require members and candidates to disclose how they are compensated.

Question 8:

B is correct. Ode's comment 2 violated Standard VII(A): Responsibilities as a CFA Institute Member or CFA Candidate—Conduct as Participants in the CFA Institute Programs: "CFA Institute program rules, regulations, and policies prohibit candidates from disclosing confidential material gained during the exam process." Examples of information that cannot be disclosed by candidates sitting for an exam include but are not limited to the following:

- Specific detail of questions appearing on the exam (contango–backwardation).
- Broad topical areas and formulas tested or not tested on the exam (derivatives).

In this case, Ode disclosed specific details of questions appearing on the exam.

A is incorrect. In saying that the ethics questions were super hard, Ode did not disclose confidential information gained during the exam process.

C is incorrect. In saying that the graders must have been quite lenient in grading her answers to the constructed response questions, Ode did not disclose confidential information gained during the exam process.

Question 9:

A is correct. Othan is in violation of the CFA Institute Code and Standards. Ode is not yet a CFA charterholder, and in referencing her as the firm's "newest CFA," Othan is misrepresenting Ode. Standard VII(B): Responsibilities as a CFA Institute Member or CFA Candidate—Reference to CFA Institute, the CFA Designation, and the CFA Program states that "'CFA Charterholders' are those individuals who have earned the right to use the CFA designation granted by CFA Institute. These people have satisfied certain requirements, including completion of the CFA Program, and required years of acceptable work experience." The recommended procedures for Ode's compliance with Standard VII(B) include educating others in the firm, including re-educating Othan, about her status.

B is incorrect. To be a CFA charterholder, Ode needs to have completed the required four years of work experience.

C is incorrect. The fact that she has completed all three levels of the CFA Program does not make Ode a CFA charterholder. To be a CFA charterholder, she must also have the required four years of work experience.

Case study 7: Magadi asset management

Magadi Asset Management (Magadi) is a global investment management firm based in Nairobi, Kenya. Magadi manages dedicated equity, fixed income, and real estate funds, as well as other alternative investment vehicles.⁵ The firm's clients include pension schemes, sovereign wealth funds, and high-net-worth individuals. Frederick Omondi, CFA, is Magadi's president and chief investment officer. Under Omondi, the CFA Code of Ethics and Standards of Professional Conduct has been adopted as the firm's Code of Conduct for Magadi's employees.

Last year, Omondi established a proprietary trading desk at Magadi. The role of the proprietary traders is to actively trade African securities for the firm's benefit. Proprietary traders do not execute orders for Magadi's institutional or retail clients; these orders are handled by traders on the main trading desk. To increase cooperation among traders and encourage the sharing of best execution practices, both trading desks are located on the same floor at Magadi's headquarters. This proximity has allowed proprietary traders to hear customer order flow and also see customer order information on the computer screens of the main traders. To encourage collaboration between the two trading desks, Omondi offers bonuses to proprietary traders who provide trading ideas to the main traders for the benefit of their clientele.

To allay client concerns about potential front-running, Omondi has told clients that information concerning their orders and business affairs is kept confidential. He further explains the firm has instituted a firm-wide policy that expressly states the following: "Employees may not discuss the business affairs of any client with any other person, except on a strict need-to-know basis. Trade orders made by the proprietary traders that may be similar to client orders must be executed after the clients' orders have been fully executed by the main dealing desk traders." **(Questions 1, 2)**

Omondi's biggest business success this year was a large mandate from a sovereign wealth fund to invest in Magadi's managed funds. To secure the mandate win, Omondi hired, as a "sub-adviser" to the managed funds, a business development agent with contacts at the highest level within the government responsible for the sovereign wealth fund. Despite having very limited experience as a financial consultant, the agent had a number of close relationships with senior managers at the sovereign wealth fund because of his connections to the government officials responsible for the fund. The payments made by Omondi, through the sub-adviser, included a "deal fee" and other expenses that facilitated the governmental support of the sovereign wealth fund investment. Omondi did not require the agent to provide details regarding its activities or the specific expenses covered by the fee. The agent's expenses are charged to Omondi's managed funds. As a thank you for being awarded the mandate, Omondi made donations to the favorite charities of the sovereign wealth fund's top management, as he had promised during the due diligence process. **(Question 3)**

Three years ago, Magadi launched the Pan Africa Frontier Fund (PAFF), a non-listed equity unit trust with an investment mandate that prohibits the use of leverage.

The mandate requires the following:

- 80% of the companies in the portfolio to be traded on at least one of the 17 securities exchanges operating within Africa;
- the portfolio be invested in a minimum of eight countries at all times;
- no more than 30% of the portfolio's value can be invested in any single country;

- no more than 10% of the portfolio's value can be invested in cash and cash equivalents; and
- no single security can account for more than 15% of the portfolio's value.

Since its launch, PAFF has significantly underperformed its peers and has had several quarters of negative returns. As a result, it ranks in the bottom performance quadrant relative to its peers.

Omondi recently hired Bukenya Kirabo, CFA, to take over management of PAFF. Kirabo was hired to improve PAFF's performance and move the fund to the top performance quadrant in rankings based on his extensive experience and knowledge of African equities, as well as his reputation as an astute investment manager. Kirabo has more than two decades of experience analyzing and investing in public companies across Africa. After graduating from a top local university, he moved to London, where he worked for a global asset management firm. Five years ago, Kirabo was transferred to the firm's regional office in Africa to manage one of the firm's local funds. During the last five years, Kirabo has generated average annual returns of 23%. Since returning to Africa, Kirabo has witnessed notable improvements in African securities markets, particularly in the area of settlement risk. Many local markets remain relatively illiquid, however, and most public companies in Africa are under-researched compared with other emerging markets. As a result, systematic risk is considerably higher in African markets than in other emerging markets.

Three months after being hired at Magadi, Kirabo meets with Omondi to review PAFF's most recent quarterly performance. During the meeting, he states, "PAFF's solid performance this quarter is a result of three changes I made:

- Change 1: Because of strong cash inflows into PAFF, I have increased the maximum level of cash and cash equivalents to 15% of the portfolio. Given the illiquid nature of many markets in which we are investing, I believe it is more prudent, and less risky, to take sufficient time to find attractive investment opportunities and build position holdings.
- Change 2: I have increased the portfolio's geographic diversification from 11 countries (stock exchanges) to 13. Securities traded on 13 different African stock exchanges (up from 11 previously) are now represented in the portfolio. This higher level of diversification has improved the portfolio's Sharpe and information ratios.
- Change 3: To increase accountability for PAFF's performance, I am now making all buy and sell decisions for PAFF. Previously, when the team of analysts was making the investment decisions, it was difficult to attribute an individual's contribution to fund performance."

Kirabo next meets with the marketing department to discuss PAFF's new sales campaign. During the meeting, he states, "Please include all of the mandate changes I have made in PAFF in the new brochure that will be distributed to prospective clients. You can also include the five-year investment performance I achieved while managing a fund at my previous employer. Please do not state where the performance was earned, however, because my previous employer is a direct competitor of Magadi. Finally, because the mandate changes are relatively trivial, there is no need to inform existing clients." **(Questions 4, 5, 6)**

PAFF currently owns 9% of the common stock of Mtume's, a mining company listed on the Botswana Stock Exchange. Kirabo has been reducing the fund's holdings in Mtume because of the company's declining revenues and profits. This morning, Kirabo speaks with Olivia Moroka, Mtume's chief financial officer. During their conversation, Moroka tells Kirabo, "You may want to stop selling your shares of Mtume,

because our board of directors just received a very attractive all-cash offer of BWP500 million (Botswana pula) to purchase one of our mining subsidiaries. Although nothing is definite, the board will be meeting next week to vote on the offer.”

After getting off the phone with Moroka, Kirabo calls the Magadi analyst who follows Mtume and tells her about his conversation. The analyst then incorporates the expected subsidiary sales price into her financial model of Mtume. The output from her revised model indicates that the sale proceeds will significantly enhance Mtume’s credit standing and its ability to reinstitute shareholder cash distributions on an earlier-than-expected schedule and in larger-than-expected amounts. When the analyst tells Kirabo about her findings, Kirabo immediately calls the proprietary and main traders to tell them to start buying “any and all” shares of Mtume. He then calls Omondi and tells him about his conversation with Moroka. After Omondi gets off the phone with Kirabo, Omondi calls his broker and purchases shares in Mtume for his personal account and the family accounts that he controls. **(Questions 7, 8)**

1. Case questions

Question 1:

By allowing customer order information to be known to the traders on the proprietary desk, did traders on the main trading desk most likely violate the CFA Institute Code and Standards?

- A. Yes.
- B. No, because this information was not shared outside of the firm.
- C. No, because proprietary traders were not allowed to act on this information until after client orders were executed.

Question 2:

Did Omondi most likely violate the CFA Institute Code and Standards in super-vising the employees in the two trading desks?

- A. Yes
- B. No, because he implemented a policy to prevent front-running
- C. No, because he encouraged collaboration between the two departments

Question 3:

Omondi most likely violated the CFA Institute Code and Standards when dealing with the sovereign wealth fund’s top managers:

- A. Only by making charitable donations.
- B. Only by hiring a sub-adviser because of his high-level government contacts.
- C. By both A and B.

Question 4:

According to the CFA Institute Code and Standards, which of the changes in the PAFF Fund does Kirabo not have to disclose?

- A. Change 1.
- B. Change 2.
- C. Change 3.

Question 5:

Does Kirabo most likely violate the CFA Institute Code and Standards by including his prior performance in the PAFF marketing brochure?

- A. No.
- B. Yes, because the brochure should have stated the name of the firm where he earned prior performance
- C. Yes, because the marketing brochure should not show fund performance earned at a prior firm as part of his performance track record

Question 6:

According to the CFA Institute Code and Standards, whom must Kirabo most likely inform of the material changes related to the PAFF?

- A. Current clients only.
- B. Prospective clients only.
- C. Current and prospective clients.

Question 7:

Did Kirabo most likely violate the CFA Institute Code and Standards by purchasing additional shares of Mtume?

- A. Yes.
- B. No, because the information that Kirabo learned from Moroka was not definite.
- C. No, because his decision was based on the output from the analyst's revised model.

Question 8:

Did Omondi most likely violate the CFA Institute Code and Standards by purchasing shares for his personal and family accounts?

- A. Yes.
- B. No, because the information is not definite.
- C. No, because the board has not voted on the offer.

2. Case answers:

Question 1:

A is correct. Traders on the main trading desk are in violation of Standard III(E): Duties to Clients—Preservation of Confidentiality. This standard requires members and candidates to preserve the confidentiality of information communicated to them by their clients, prospective clients, and former clients. The sharing of office space such that the proprietary traders can see the screens of the main traders is inappropriate because it allows confidential client information to be disclosed to individuals (proprietary traders) who did not need to know the information. To avoid sharing confidential information and violating firm policy, the main traders should have taken necessary action to ensure the client information was not advertently or inadvertently shared with the proprietary desk traders.

B is incorrect. Although the information was not shared externally, the main traders still allowed its disclosure to individuals who did not meet the “need to know” requirement and, in doing so, violated Standard III(E).

C is incorrect. Whether or not the proprietary traders acted on the information is irrelevant in this case. Traders on the main trading desk needed to take the necessary action to prevent the disclosure of confidential information and, in not doing so, they violated Standard III(E).

Question 2:

A is correct. Omondi was in violation of Standard IV(C): Duties to Employers—Responsibilities of Supervisors. Members and candidates must promote actions by all employees under their supervision and authority to comply with applicable laws, rules, regulations, firm policies and the Code and Standards. Omondi failed to establish effective policies and procedures reasonably designed to prevent traders on the proprietary dealing desk from obtaining confidential customer information. Although the proprietary traders did not have direct access to the computer system used by the main traders to execute customer orders, by being co-located on the same floor, the proprietary traders could still view customer order information on the main traders’ computer screens and hear them discuss customer orders. Omondi could have located one set of traders in a separate space or a different floor with security access restrictions. Omondi would also likely be in violation of Standard I(C): Professionalism—Misrepresentation, because his representation to customers was incorrect—that is, client information was made available to other employees outside of those operating on a “need-to-know” basis.

B is incorrect. Although Omondi announced a policy to mitigate front-running, the policy was ineffective and, as implemented, did not prevent or address the sharing of confidential client information (orders) to individuals who did not need to know this information (proprietary traders).

C is also incorrect. Encouraging collaboration between the two trading desks does not address the fact that the proprietary traders could see and hear confidential information about client orders from the main trading desk. Omondi failed to establish sufficient policies and procedures to ensure compliance with the Code and Standards as well as firm policy for the traders under his supervision.

Question 3:

C is correct. Omondi was in violation of Standard I(B): Professionalism—Independence and Objectivity. “When working to earn a new investment allocation, members and candidates should not offer gifts,

contributions, or other compensation to influence the decision of the hiring representative. The offering of these items with the intent to impair another person's independence and objectivity would not comply with Standard I(B). Such prohibited actions may include offering donations to a charitable organization." To better serve clients, investment professionals may delegate to third parties work that requires particular specialization, knowledge, or expertise. For instance, an investment adviser may hire sub-advisers to handle a particular strategy or investment style outside the scope of the adviser's ability or experience. A global adviser may hire a sub-adviser to manage an asset allocation invested in a particular country or region, and the payments to the sub-adviser would be legitimate investment expenses that could properly be passed on to investors in the fund. It is clear from the facts of this case, however, that Omondi is not hiring a true sub-adviser but instead paying locally connected officials to secure access for the sovereign wealth fund's investment. The "sub-adviser" has limited financial experience but is close to the government officials, and the "deal fees" are not supported by any documentation that details legitimate investment expenses. The "sub-advising expenses" charged by Omondi to the fund could, in all likelihood, be funding corrupt transactions and bribes through local intermediaries. This practice violates multiple standards, including I(A) Knowledge of the Law (because the conduct would violate any type of anti-bribery laws); I(C) Misrepresentation (improperly labeling the expenditures as investment fees); V(A) Diligence and Reasonable Basis (no reasonable and adequate basis for the "investment" action); and V(C) Record Retention (No appropriate records to support the action).

Question 4:

B is correct. Change 2 is not required to be disclosed because, by increasing the country exposure to 13 nations, Kirabo is still within the 80% stated mandate. The investment process has not fundamentally changed. Changes 1 and 3 are modifications to the investment process that, according to Standard V(B): Investment Analysis, Recommendations, and Actions—Communication with Clients and Prospective Clients, must be disclosed. According to Standard V(B), members and candidates must disclose to clients and prospective clients the basic format and general principles of the investment processes they use to analyze investments, select securities, and construct portfolios, and they must promptly disclose any changes that might materially affect those processes.

A is incorrect. Change 1 is a change in the fund's mandate because the maximum amount of cash that the fund can hold has been increased to 15% from 10%.

C is incorrect. Change 3 is a change to the investment process, because all purchase and sell decisions are now being made by Kirabo instead of the team of analysts.

Question 5:

B is correct. Kirabo was in violation of Standard III(D): Duties to Clients—Performance Presentation. Standard III(D) does not prohibit showing past performance of funds managed at a prior firm, as long as showing that record is accompanied by appropriate disclosures about where the performance took place and the person's specific role in achieving that performance. Kirabo does not disclose the name of the prior firm or that he alone managed the fund and was solely responsible for its performance. Consequently, he is in violation of Standard III(D): Performance Presentation. Kirabo would also be required to receive permission in writing from his previous employer to take his performance records with him when he left the firm, because the performance record is an asset of the firm, not of the individual.

employee. If he did Duties to Employers—Loyalty, which requires members and candidates to protect their employers' interests, even when leaving the firm.

C is incorrect. There is no prohibition on including past investment performance under Standard III(D) so long as there are disclosures that clearly indicate it was earned at a previous entity and what the role the manager played in achieving that performance.

Question 6:

C is correct. According to Standard V(B): Investment Analysis, Recommendations, and Actions—Communication with Clients and Prospective Clients, Kirabo must disclose to current and prospective clients both the fund mandate change and the change in the investment process.

Question 7:

A is correct. Kirabo was in violation of Standard II(A): Integrity of Capital Markets—Material Nonpublic Information. Members and candidates who possess material nonpublic information that could affect an investment's value must not act or cause others to act on the information. Information is "material" if its disclosure would probably affect the price of a security or if reasonable investors would want to know the information before making an investment decision. In addition to the substance and specificity of the information, the source or relative reliability of the information also determines materiality. In this case, factual information from a corporate insider regarding the purchase of a subsidiary is likely to be material. Although the offer is not definite or officially accepted by the board, its source, substance, and specificity are enough to make the information material. The output from the analyst's revised model was affected by the insider information.

B is incorrect. Information does not have to be definite to trigger the violation; it need only be considered both material and nonpublic. In this case, factual information from a corporate insider regarding the purchase of a subsidiary is both nonpublic and material. Trading on this information violates Standard II(A).

C is incorrect. The output from the analyst's revised model was affected by the insider information. Thus, his decision was based on material, nonpublic information, which violates Standard II(A): Material Nonpublic Information.

Question 8:

A is correct. Omondi violated Standard II(A): Integrity of Capital Markets—Material Nonpublic Information. Members and candidates who possess material nonpublic information that could affect an investment's value must not act or cause others to act on the information. Information is "material" if its disclosure would probably affect the price of a security or if reasonable investors would want to know the information before making an investment decision. In addition to the substance and specificity of the information, the source or relative reliability of the information also determines materiality. In this case, factual information from a corporate insider regarding the purchase of a subsidiary is likely to be considered material. Although the offer is not definite or officially accepted by the board, its source, substance, and specificity are enough to make the information material. By purchasing shares informed by material nonpublic information, Omondi violated Standard II(A).

B is incorrect. Information does not have to be definite to trigger the violation; it need only be considered both material and nonpublic. In this case, factual information from a corporate insider regarding the purchase of a subsidiary is both nonpublic and material. Trading on this information violates Standard II(A).

C is incorrect. There is no requirement that the information must be about something that has actually occurred, such as the action having been taken. Under Standard II(A), "Information is considered material if its disclosure would probably have an impact on the price of a security or if reasonable investors would want to know the information before making an investment decision." Both statements are true here. Thus the information is material, and also nonpublic, so trading on this information violates Standard II(A): Material Nonpublic Information.

Case study 8: Theresa Lecompte Case Scenario

Theresa Lecompte, CFA, is an equity analyst for Topaz Group, a large full-service financial firm that offers insurance, investment banking, brokerage and investment management services. Topaz has adopted the CFA Institute Research Objectivity Standards to demonstrate their commitment to managing and fully disclosing conflicts of interest to all investors that have access to the firm's research.

Lecompte's primary responsibility is to follow the information technology sector for the firm's research department. She is working on two follow-up reports for NanoMem (NM) and UniFlash (UF). Topaz makes markets in both companies' securities and Lecompte owns a small position in NM only.

Lecompte has an excellent relationship with company officials at NM. In the past, LeCompte has made favorable recommendations regarding NM. In appreciation, she was invited to attend a company-sponsored event last December that was held at an exclusive ski resort overseas. NM paid all expenses relating to the trip and provided some excellent entertainment activities for the attendees. Lecompte disclosed this benefit to her supervisor at Topaz. Shortly thereafter, Topaz issued a secondary offering for NM. Lecompte believes that her excellent relationship with the firm played a large part in securing this business.

However, Lecompte considers her relationship with UF to be contentious since company officials seem reluctant to share as much information with her as they have in the past. She believes the change in their behavior is a direct result of recent reports she has written on the company, which have been less than favorable. Prior to publication of her follow-up reports, Lecompte shares her report on NM in its entirety with top management at NM. She shares only the part of her report on UF that provides factual information with UF management.

Lecompte's compensation at Topaz includes an annual salary plus a bonus based on both the accuracy of her recommendations over time and the overall profitability of the company. Topaz makes public disclosure of the extent to which research analyst compensation in general is dependent upon the firm's investment banking revenues.

Following the release of her reports in early March, Lecompte is invited to appear on a television program to discuss her recommendations. During her appearance, she makes the following statements:

1. "My firm makes markets in the securities of both NanoMem and UniFlash and I currently own a position in NanoMem."
2. "Although, I just issued my report on UniFlash which reflected a neutral rating, I really believe a sell rating is more appropriate."

When she returns to her office the following day, Lecompte is informed by her supervisor that a company official at UF called to express his disappointment and anger regarding the negative remarks she had made about UF during her television appearance. Lecompte states that she believes her deteriorating relationship with UF will make it difficult to effectively cover the company in the future and recommends that Topaz discontinue coverage of UF immediately.

I. Case questions:

1. In sharing her research material with the subject companies, Lecompte most likely violated CFA Institute Research Objectivity Standards with respect to her report(s) on:

A. UniFlash.

B. NanoMem.

C. Both NanoMem and UniFlash.

2. With respect to the company-sponsored event that Lecompte attended, did she violate any CFA Institute Standards?

A. Yes.

B. No, because she disclosed it to her employer.

C. No, because the Standards permit entertainment as long as it is business related.

3. Regarding Lecompte's compensation structure is Topaz in violation of CFA Institute's Research Objectivity Standards?

A. No.

B. Yes, with respect to overall profitability of the firm.

C. Yes, with respect to accuracy of her recommendations.

4. According to the CFA Institute Research Objectivity Standards, does the first statement Lecompte makes in her television appearance provide all the recommended disclosures relating to potential conflicts of interest?

A. Yes.

B. Only with respect to UniFlash.

C. Only with respect to NanoMem.

5. Does Lecompte's second statement during her TV appearance comply with the CFA Institute Research Objectivity Standards recommended procedures?

A. Yes.

B. No, with regard to her rating system.

C. No, with regard to personal investments

6. With respect to Lecompte's coverage of UniFlash, according to the CFA Institute Standards, the least appropriate course of action for Topaz to take would be to:

A. discontinue coverage.

B. change assigned analyst.

C. upgrade recommendation.

II. Case answers:

1. Answer: B

B is correct as Lecompte violated Standard 6, Relationships with Subject Companies, in sharing the full report with NanoMem. Sharing any section of a research report that might communicate the analyst's proposed recommendation, rating, or price target is prohibited by the Standards.

2. Answer: A

A is correct as Lecompte violated both the CFA Institute Standard I (B) relating to independence and objectivity and the CFA Institute Research Objectivity Standard 6, Relationships with Subject Companies, by allowing a corporate issuer to pay for her travel expenses.

3. Answer: A

A is correct as Research Objectivity Standard 5 recommends analyst's compensation be based on the accuracy of recommendations over time. In addition, compensation should not be directly linked to investment banking or other finance activities, which it is not in this case.

4. Answer: B

B is correct as Lecompte provided all the recommended disclosures relating to potential conflicts of interest with respect to UniFlash. She should have disclosed, "benefit received" from NanoMem with regard to the trip as required by Standard 2.

5. Answer: B

B is correct as the recommended procedures for compliance with the CFA Institute Research Objectivity Standard 11 states that firms should prohibit covered employees from communicating a rating or recommendation that is different from the current published rating or recommendation.

6. Answer: C

C is correct because according to the CFA Institute Standards I (B), and V (A), members and candidates must exercise diligence, independence, objectivity, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions. Changing a written recommendation to what a subject company desires is not acting diligently, independently, objectively, and/or thoroughly.

Case study 9: Kingfisher Case Scenario

The government of a developing country published a “Request for Proposal” (RFP) for the development of policies to improve the business conduct of its capital markets licensees with the hope of improving confidence levels among investors.

Kingfisher Financial Development Partners responded with a detailed proposal including the following justifications for why the firm should win the tender:

- Justification 1: With a team of three CFA charterholders, Kingfisher is more qualified than our competitors to design policies to uphold and enhance capital market integrity.
- Justification 2: Each team member must annually renew his or her commitment to abide by the CFA Institute Code of Ethics and Standards of Professional Conduct (Code and Standards).
- Justification 3: In addition, every team member passed each level of the CFA exam on the first attempt.

Kingfisher is later notified that it had won the tender. The Kingfisher team consists of team leader Khalid Juma, CFA, and his two associates, Vimal Bachu, CFA, and Anila Patel, CFA. Kingfisher and the government agree that the first step toward improving market integrity is to create an industry- wide code of conduct based on the Code and Standards. Although the Code and Standards are not intended to be adopted in full by the government, the decision is made to concentrate on four main areas: profession-alism, capital market integrity, duties to clients, and investment recommendations.

The Kingfisher team subsequently drafts the following policy statements:

Levels of Professionalism

Financial services professionals must act in a professional manner at all times to help protect the integrity of the country’s capital markets. As such, financial services professionals must ensure that they meet at a minimum three major requirements. Professionals must (1) disclose all conflicts of interest, (2) selectively differentiate services to clients, and (3) outline all manager compensation arrangements for clients.

Capital Market Integrity

Financial services professionals must protect the integrity of the capital markets by ensuring that any insider information obtained is managed in such a way as to pre-vent the investing public from being disadvantaged. In addition, no financial services professional can knowingly participate in any activity devised to mislead investors or distort any price- setting mechanism.

Duties to Clients

Clients’ interests must come before those of the financial services firm and/or its staff. To ensure that clients’ interests are protected, all portfolios must be invested according to each client’s investment plan and must be well diversified across all asset classes available. Furthermore, fund managers must annually review client needs and objectives and rebalance portfolios if required.

Investment Recommendations

All investment recommendations should be made after extensive research undertaken by or on behalf of the firm. In addition, each research report must

Requirement 1: be reviewed by peers as soon as practical to ensure that adequate basis and due diligence policies were followed,

Requirement 2: be assessed to determine the quality of the recommendation over time, and

Requirement 3: only include names of team members who took part in the research and agreed with the recommendation.

The Kingfisher team and the government committee meet to agree on the draft code of conduct. Members of the government committee suggest the following additional policy: "Each financial services firm must have a compliance supervisor to ensure that

Task 1: systems are in place to detect violations of laws, rules, regulations, firm policies, and the industry- wide code of conduct and to enforce investment- related compliance policies;

Task 2: the firm has adequate documented compliance policies and procedures and it trains all personnel on the same and makes sure the policies and procedures are followed; and

Task 3: inadequate procedures are identified and recommendations to correct inadequate procedures are submitted to senior management for approval and implementation."

I. Case questions:

1 Which of Kingfisher's statements in the RFP regarding its qualifications most likely violates the CFA Institute Standards of Professional Conduct?

A Justification 1.

B Justification 2.

C Justification 3

2 With regard to the proposed policy statement relating to Levels of Professionalism, which draft requirement least likely reflects any of the CFA Institute Standards of Professional Conduct?

A Conflicts of interest

B Differentiation of services

C Compensation arrangements

3 Do Kingfisher's proposed policy statements related to Capital Market Integrity most likely violate any CFA Institute Standards of Professional Conduct?

A No.

B Yes, with regard to material nonpublic information.

C Yes, with regard to market manipulation

4 Which of Kingfisher's proposed requirements to ensure Duties to Clients is least appropriate to prevent violations of the CFA Institute Standards of Professional Conduct? The requirement calling for a(n):

A investment plan.

B diversified portfolio.

C periodic review.

5 Which of Kingfisher's proposed requirements regarding investment recommendations is most appropriate to prevent violations of Standard V(A)—Diligence and Reasonable Basis?

A Requirement 3

B Requirement 1

C Requirement 2

6 Which of the following tasks suggested by the government committee would least likely conform to Standard IV(C)—Responsibilities of Supervisors?

A Task 1

B Task 3

C Task 2

II. Case answers:

1. A is correct.

It is a violation of Standard VII(B)—Reference to CFA Institute, the CFA Designation, and the CFA Program to imply that the competencies of a CFA charterholder are superior to those of others not holding the designation. It is not a violation, however, to factually state that charterholders must annually renew their commitment to abide by the Code and Standards or that each of the team members passed all three CFA exams on their first attempt.

B is incorrect because it is not a violation of Standard VII(B) to factually state that Charterholders must annually renew their commitment to abide by the Code and Standards.

C is incorrect because it is not a violation of Standard VII(B) to state that each of the team members passed all three CFA Exams on their first try, if in fact that is true.

2. B is correct.

Standard III(B)—Fair Dealing accommodates the differentiation of services to clients as long as such services are not offered selectively. The different service levels should be disclosed to clients and prospective clients and should be available to everyone. A requirement to disclose all conflicts of interest would not violate Standard VI(A)—Disclosure of Conflicts, nor would the outline of all compensation arrangements violate Standard IV(B)—Additional Compensation Arrangements.

A is incorrect because a requirement to disclose all conflicts of interest would not violate Standard VI(A)—Disclosure of Conflicts.

C is incorrect because a requirement to disclose all compensation arrangements would not violate Standard IV(B)—Additional Compensation Arrangements. This requirement would be even more stringent than the standard as it only requires disclosure of compensation that competes with or might reasonably be expected to create a conflict of interest with a member or candidates' employer's interest.

3. A is correct.

Kingfisher's proposed general principles related to Capital Market Integrity properly address in principle Standard II(A)—Material Nonpublic Information and Standard II(B)—Market Manipulation. Standard II(A) does not disallow the possession of insider information but does disallow using the information to take unfair advantage of the general investing public. Standard II(B) requires the prohibition of market manipulation—that is, dissemination of false or misleading information and transactions that deceive or would be likely to mislead market participants by distorting the price-setting mechanism of financial instruments.

B is incorrect because Standard II(A) does not disallow the possession of insider information, but does disallow using the information to take unfair advantage of the general investing public. Kingfisher's proposed general principles related to Capital Market Integrity properly address, in principle, Standard II(A)—Material Nonpublic Information.

C is incorrect because Standard II(B) requires the prohibition of market manipulation, i.e., dissemination of false or misleading information and transactions that deceive or would be likely to mislead market participants by distorting the price-setting mechanism of financial instruments. Kingfisher's proposed

general principles related to Capital Market Integrity properly address, in principle, Standard II(B)—Market Manipulation.

4. B is correct.

Standard III(A)—Loyalty, Prudence, and Care requires a client's portfolio to be managed by investment guidelines agreed on with the client. Some clients' investment objectives may not allow for a diversified portfolio across all asset classes available. Therefore, it may violate Standard III(A) to include all asset classes available.

A is incorrect because recommendations to meet Standard (A)—Loyalty, Prudence, and Care include establishing the investment objectives of the client and looking at the client's risk and return objectives and financial constraints.

C is incorrect because recommendations to meet Standard (A)—Loyalty, Prudence, and Care include conducting regular reviews of the client's Investment Policy Statement and governing documents.

5. C is correct.

It is recommended that firms develop and use measurable criteria for assessing the quality of research to help comply with Standard V(A)—Diligence and Reasonable Basis. Therefore, the research recommendations need to be assessed to determine their validity over time. Did the process and the analyst's view lead to the right recommendation? If over time recommendations consistently prove to be wrong, perhaps the research processes need to be changed—or the analysts themselves.

A is incorrect because a member of the research team can disagree with the recommendation and still include his name on the research report if he agrees that there was a reasonable and adequate basis for the recommendation and is independent and objective.

B is incorrect because it is recommended that peer reviews to determine reasonable and adequate basis be done prior to distribution. By stating the review occurs when practical could imply the review is done after distribution or if the review takes a long period of time to complete, the research report could become stale.

6. A is correct.

Task 1 is insufficient in that Standard IV(C)—Responsibilities of Supervisors requires supervisors to enforce non-investment-related policies as well as investment-related policies.

B is incorrect because activities mentioned in Task 3 are necessary to meet the requirement of Standard IV(C).

C is incorrect because activities mentioned in Task 2 are necessary to meet the requirements of Standard IV(C).